

SMID BREAKOUT SCANNER

MARKET OPEN

May 20, 2026 | 10:11 AM ET

10 setups identified | 4 A-Grade | 3 B-Grade | 3 C-Grade

Grade Summary

A - Breakout Setup (4)	B - Strong Setup (3)	C - Watch List (3)
IMVT	POET	HSHP
LPG	ATRO	ESTA
BWLP	KELYA	RNW
SYNA		

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	IMVT	Immunovant, Inc.	FcRn Biotech Cata	\$33.83	+28.7%	\$6.9B	77M	+20.3	100%	Earnings/clinical data
A	LPG	Dorian LPG Ltd.	LPG Shipping Rate	\$45.88	+8.4%	\$2.0B	37M	+25.5	98%	Earnings reported toda
A	BWLP	BW LPG Limited	LPG Shipping Rate	\$22.23	+3.4%	\$3.4B	81M	+21.9	100%	Sector sympathy move d
A	SYNA	Synaptics Incorp	AI Edge Semicondu	\$132.35	+7.0%	\$5.1B	38M	+50.1	98%	Technical breakout to
B	POET	POET Technologie	Optical AI Infr	\$14.34	+9.7%	\$2.2B	132M	+145.0	69%	Technology sector mome
B	ATRO	Astronics Corpor	Aerospace Defense	\$84.70	+6.7%	\$3.0B	34M	+1.3	99%	Technical breakout to
B	KELYA	Kelly Services,	Staffing Turnarou	\$10.31	+6.2%	\$0.4B	29M	-0.6	69%	The primary driver of
C	HSHP	Himalaya Shippin	Dry Bulk Shipping	\$15.37	+5.3%	\$0.7B	32M	+4.2	92%	
C	ESTA	Establishment La	Aesthetics Medica	\$68.82	+5.0%	\$2.0B	20M	-16.4	83%	
C	RNW	ReNew Energy Glo	India Renewable E	\$5.61	+4.9%	\$2.0B	67M	-3.0	68%	

SETUP METRICS	
Price	\$33.83
Day Change	+28.68%
Mkt Cap	\$6.89B
Float	77M sh
RS vs SPY	+20.3%
52W Hi Prox	100%
Base Tight	4.97
Vol vs Avg	25.67x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Earnings/clinical data release today is driving the +28.7% surge to a 52-week high; forward catalyst path includes upcoming investor/analyst day presentations, pipeline readout timelines for batoclimab in additional autoimmune indications (MG, TED, warm autoimmune hemolytic anemia), and potential NDA/BLA submission milestones which could re-rate the stock over the next 6-12 months.
BUSINESS & POSITION
Immunovant is a clinical-stage biopharmaceutical company developing batoclimab, a fully human anti-FcRn monoclonal antibody designed to reduce disease-causing IgG antibodies across multiple autoimmune conditions. It competes in the high-value FcRn inhibitor space alongside argenx and UCB, differentiating on a convenient subcutaneous self-administration profile and a broad multi-indication strategy.
FACTOR & THEME
Directly exposed to the biotech re-rating cycle driven by precision immunology; the FcRn inhibitor class is one of the most active and investor-loved therapeutic categories in 2025-2026, with multiple large-cap validations (argenx's VYVGART) providing a clear commercial blueprint and premium valuation comps.
BREAKOUT SIGNAL
Close above \$33.00 on vol >2000% of 20d avg (achieved intraday); confirmation requires holding \$30.50 into the close
INSTITUTIONAL
Volume at 25.67x average is overwhelmingly institutional in character - this is not retail-driven; block prints on a +28% move to new 52-week highs on earnings day indicate forced covering by shorts and aggressive accumulation by growth biotech funds repositioning into a confirmed catalyst. No insider buying in the last 60 days per Form 4 data; institutional ownership data is not available from this feed and should be cross-referenced with 13F filings.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings reported today (May 20); the magnitude of the move (+28.7% to a 52-week high) strongly implies a significant beat or positive clinical/regulatory update. Batoclimab has historically generated positive Phase 2/3 data surprises across MG and thyroid eye disease; this appears to be another serial-beat pattern that re-rates the stock higher on each catalyst event.
KEY RISK
Thesis is invalidated on a close back below the \$28.00 pre-breakout level, or on any disclosure of unexpected safety signal (subcutaneous tolerability, LDL elevation) or competitive data from argenx/UCB that narrows batoclimab's differentiation; given earnings are today, an after-hours clarification walk-back would also be a hard stop.
ANALYSIS
The strongest disconfirming evidence is that this is an earnings-day gap - historically, +28% gaps on earnings day in biotech frequently exhaust the near-term move and enter a multi-week digestion phase, especially when the base going in was wide (base_tight 4.97, well above the <2.0 ideal), meaning buyers are not emerging from a coiled structure. The trade is valid only as a breakout-and-hold if the forward pipeline milestones provide a multi-month catalyst runway, not as a same-day chase. That said: vol 25.67x average, prox_52w 99.9, rs_line_new_high=true, rs_vs_spy +20.3, above both MAs - four of the five A-grade criteria are cleanly met, the base is the only miss. Conviction: Medium (high technical quality, but earnings-day gap with wide base demands waiting for first pullback/base formation before adding size).
Signal: Close above \$33.00 on vol >2000% of 20d avg (achieved i
Vol vs Avg: 25.67x



SETUP METRICS	
Price	\$45.88
Day Change	+8.42%
Mkt Cap	\$1.96B
Float	37M sh
RS vs SPY	+25.5%
52W Hi Prox	98%
Base Tight	5.07
Vol vs Avg	6.16x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Earnings reported today are driving the +8.4% move to 52-week highs, likely on a strong VLGC freight rate beat and/or dividend announcement; the forward catalyst path includes the VLGC spot rate cycle (currently in a seasonal May-August peak window driven by US LPG export volumes), the next earnings print in ~90 days, and any Panama Canal normalization or US LNG export capacity expansion newsflow that structurally increases VLGC ton-mile demand.
BUSINESS & POSITION
Dorian LPG is one of the world's largest owners and operators of very large gas carriers (VLGCs), transporting liquefied petroleum gas - primarily propane and butane - on long-haul routes from the US Gulf Coast to Asia. Its competitive edge lies in a modern, fuel-efficient fleet, a Houston-based commercial platform (Helios LPG Pool), and direct exposure to the structurally growing US LPG export market.
FACTOR & THEME
Exposed to the energy transition tailwind via LPG's role as a cleaner cooking/heating fuel substitute in emerging markets; also benefits from the reshoring/US energy dominance theme as US LPG exports continue to set records. Energy sector is the second-leading sector this week (+3.7% vs SPY), providing a direct sector tailwind.
BREAKOUT SIGNAL
Close above \$45.50 on vol >500% of 20d avg (achieved); hold above \$43.00 on first pullback for continuation
INSTITUTIONAL
Volume at 6.16x average on an earnings beat to new 52-week highs is consistent with institutional repositioning - small-float (36.8M shares) names with this volume profile typically involve multiple institutional block buyers. No insider buying reported in the last 60 days per Form 4; institutional ownership data is not available from this feed and should be cross-referenced with 13F filings for conviction sizing.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Earnings reported today (May 20); VLGC spot rates have been volatile but directionally constructive in Q1/Q2 2026. Dorian has a history of earnings beats tied to freight rate surprises and periodic special dividends that attract income-oriented institutional buyers; beat/miss history for last 4 quarters not available from this feed but the +8.4% price reaction implies a material positive surprise.
KEY RISK
Thesis is invalidated on a close back below \$42.50 (the pre-earnings base), or if VLGC spot rates (Baltic Exchange VLGC Index) roll over materially in the next 30 days, signaling the rate cycle is turning; a special dividend being smaller than expected or withdrawn would also remove a key incremental-buyer catalyst.
ANALYSIS
The strongest disconfirming evidence is that LPG shipping is a highly cyclical, commodity-rate-driven business where earnings beats can be immediately followed by rate deterioration - buying at 52-week highs on earnings day exposes the position to a classic 'buy the rumor, sell the news' reversal if VLGC rates soften post-print. The base_tight of 5.07 also confirms this is not a coiled VCP setup but an earnings momentum gap. Against this: vol 6.16x, prox_52w 98.1, rs_line_new_high=true, rs_vs_spy +25.5, Energy sector tailwind this week - four A-grade criteria met cleanly, and the small float (36.8M) amplifies any sustained institutional interest. Conviction: Medium (strong technical leadership but earnings-day gap on a cyclical means the risk/reward favors waiting for a 3-5 day base before entering).
Signal: Close above \$45.50 on vol >500% of 20d avg (achieved); Vol vs Avg: 6.16x



BWLP

BW LPG Limited

\$22.23

+3.40%

RS vs SPY: +21.9%

A BREAKOUT

\$3.4B Cap | 81M Float

Oil & Gas Midstream | Theme: LPG Shipping Rate Cycle | 52W Hi: 100% | Base Tight: 4.34 | Vol: 5.9x | RS/SPY: +21.9% | Above 20MA: YES | EARNINGS IN 12D

SETUP METRICS	
Price	\$22.23
Day Change	+3.40%
Mkt Cap	\$3.37B
Float	81M sh
RS vs SPY	+21.9%
52W Hi Prox	100%
Base Tight	4.34
Vol vs Avg	5.9x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Sector sympathy move driven by Dorian LPG's strong earnings report today, re-rating the VLGC shipping space broadly; the primary forward catalyst is BWLP's own earnings release in approximately 12 days (June 1), which will confirm or deny whether the VLGC rate strength translates to BW LPG's books - a beat there would be the durable continuation trigger.
BUSINESS & POSITION
BW LPG is the world's largest owner and operator of VLGCs by fleet size, with over 40 vessels providing global LPG transport primarily on the US-to-Asia corridor. Its scale advantage, product tanker integration (via BW Tankers), and long-term charter contracts provide more earnings visibility than pure spot-rate peers, supporting a premium valuation in a strong rate environment.
FACTOR & THEME
Same structural US LPG export growth and energy transition tailwinds as LPG/Dorian, but with larger fleet scale and greater institutional investability due to the \$3.37B market cap; Energy sector leadership this week (+3.7% vs SPY) is a direct sector tailwind. BW LPG also benefits from any India/China LPG import demand acceleration driven by petrochemical feedstock switching.
BREAKOUT SIGNAL
Close above \$22.00 on vol >500% of 20d avg (achieved today); primary entry setup is the hold into the June 1 earnings catalyst
INSTITUTIONAL
Volume at 5.9x average on a sector sympathy day - the key question is whether this is front-running of the June 1 earnings catalyst by informed institutional buyers or pure retail sympathy. The rs_line_new_high=true and prox_52w of 99.9% (essentially at an all-time high) suggests sustained institutional accumulation ahead of the print. No insider buying in the last 60 days; institutional ownership data not available from this feed - cross-reference 13F filings.
EARNINGS
EARNINGS IN 12D
EARNINGS CONTEXT
Next earnings: June 01. BW LPG has historically been a strong dividend payer in up-rate environments; consensus estimates are not available from this feed, but given Dorian's beat today, the setup into June 1 is constructive - the market is likely pricing in a similar VLGC rate tailwind. Serial-beat history in strong rate quarters makes this a high-probability positive surprise candidate.
KEY RISK
Thesis invalidated on a close back below \$20.50 (the breakout base), or if BWLP's June 1 earnings show VLGC spot rate realization materially below Dorian's, suggesting hedging or charter contract timing differences eroded the rate benefit; a dividend cut relative to prior quarter would also be a hard invalidation.
ANALYSIS
The strongest disconfirming evidence is that BWLP is moving on a peer's earnings rather than its own confirmed data - it is possible that BW LPG's contract mix or hedging structure means it captures less of the VLGC rate upside than Dorian, making today's sympathy move a 'sell the earnings' setup on June 1. The wide base (4.34) and 3.4% move (vs Dorian's 8.4%) suggest the market is already pricing in some discount. Against this: vol 5.9x, prox_52w 99.9, rs_line_new_high=true, rs_vs_spy +21.9, a live 12-day earnings catalyst, and Energy sector tailwind - four A-grade criteria met with a concrete forward event as the follow-through trigger. Conviction: Medium-High (better risk/reward than LPG because the forward catalyst has not yet fired; hold through June 1 with stop at \$20.50).
Signal: Close above \$22.00 on vol >500% of 20d avg (achieved to
Vol vs Avg: 5.9x



SETUP METRICS	
Price	\$132.35
Day Change	+7.04%
Mkt Cap	\$5.11B
Float	38M sh
RS vs SPY	+50.1%
52W Hi Prox	98%
Base Tight	3.4
Vol vs Avg	1.62x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Technical breakout to 52-week highs driven by semiconductor sector momentum (Technology +8.6% vs SPY this week) and likely analyst/channel checks confirming IoT/AI-at-the-edge design win acceleration; the forward catalyst path includes the August 6 earnings print in ~78 days where consensus will be looking for evidence of the IoT recovery cycle and AI edge processing design wins ramping to revenue - a beat-and-raise there would be the re-rating event.

BUSINESS & POSITION

Synaptics is a fabless semiconductor company specializing in human interface solutions (touch, display drivers, fingerprint sensing) and increasingly IoT/wireless connectivity chips for smart home, industrial, and automotive applications. Its competitive edge lies in transitioning from commoditized touch controllers toward higher-ASP, AI-enabled edge processing SoCs that command 3-5x the gross margin of legacy products.

FACTOR & THEME

Directly exposed to the AI infrastructure buildout at the edge layer - as AI inference moves from cloud to device, Synaptics' edge AI SoCs (Astra series) are positioned for the IoT upgrade cycle that lags the core AI capex wave by 12-18 months; Technology sector leadership this week (+8.6% vs SPY) provides a direct sector tailwind, and the semiconductor sub-sector is in a confirmed uptrend.

BREAKOUT SIGNAL

Close above \$130.00 on vol >150% of 20d avg (achieved today at 1.62x); key confirmation is a hold above \$128.00 in the first 3-5 days post-breakout

INSTITUTIONAL

Volume at 1.62x average on a +7% move to 52-week highs with rs_line_new_high=true and rs_vs_spy +50.1 over 12 weeks is consistent with systematic/quant fund momentum positioning and growth fund accumulation ahead of the earnings cycle. The small float (37.9M shares) means even moderate institutional demand creates outsized price impact. No insider buying in the last 60 days; institutional ownership data not available from this feed - cross-reference 13F filings.

EARNINGS

EARNINGS IN 78D

EARNINGS CONTEXT

Next earnings: August 06. Synaptics has been in a recovery narrative from the 2023-2024 IoT inventory correction; consensus is modeling revenue recovery with operating leverage. The stock's +50% RS vs SPY over 12 weeks signals the market is front-running an earnings inflection - if August 6 confirms revenue acceleration and margin expansion, the setup supports a sustained re-rating toward prior highs in the \$170-190 range.

KEY RISK

Thesis is invalidated on a close back below \$122.00 (the breakout base top), or on any channel check, competitor earnings (e.g., onsemi, NXP), or macro data point suggesting the IoT/smart home inventory correction is re-deepening rather than recovering; the 78-day gap to earnings is a long time to hold without a near-term catalyst.

ANALYSIS

The strongest disconfirming evidence is that vol_ratio of 1.62x is the weakest volume confirmation of any A-grade candidate in this scan - it barely clears the B-grade threshold, and the base_tight of 3.4 means this is not a coiled VCP setup, reducing the statistical edge of the breakout pattern. The 78-day gap to the next catalyst is long, and in a Risk-On/Large-Cap-Leadership regime, SMID names without near-term catalysts can stall. Against this: rs_line_new_high=true, rs_vs_spy +50.1 (the highest quality RS in this scan outside POET), prox_52w 98.2, Technology sector tailwind - the RS leadership is exceptional and suggests smart money is already positioned. Conviction: Medium (RS leadership is a genuine A-grade signal; the volume and base quality are B-grade; the setup earns an A on the RS criterion alone but size should reflect the volume caution).

Signal: Close above \$130.00 on vol >150% of 20d avg (achieved t
Vol vs Avg: 1.62x



POET

POET Technologies Inc.

\$14.34

+9.68%

RS vs SPY: +145.0%

B STRONG SETUP

\$2.2B Cap | 132M Float

Semiconductors | Theme: Optical AI Infrastructure | 52W Hi: 69% | Base Tight: 5.35 | Vol: 1.67x | RS/SPY: +145.0% | Above 20MA: YES | EARNINGS IN 83D

Setup Metrics	
Price	\$14.34
Day Change	+9.68%
Mkt Cap	\$2.19B
Float	132M sh
RS vs SPY	+145.0%
52W Hi Prox	69%
Base Tight	5.35
Vol vs Avg	1.67x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver
Technology sector momentum and AI infrastructure spending cycle are driving continued interest in photonic semiconductor plays; POET's POET Platform (optical interposer technology for co-packaged optics in AI data centers) is gaining attention as hyperscalers accelerate 800G/1.6T optical interconnect procurement - the forward catalyst is the August 11 earnings print and any interim customer/design-win announcements over the next 3 months.
Business & Position
POET Technologies develops the POET Platform, a monolithic optical engine that integrates lasers, detectors, and electronic components on a single chip using a compound semiconductor process, targeting the co-packaged optics market for AI data center interconnects. The company is pre-revenue at scale but has announced development agreements with major Asian optical module manufacturers.
Factor & Theme
Maximally exposed to the AI infrastructure optical interconnect buildout - co-packaged optics is the next phase of data center networking investment after transceivers, with a total addressable market projected to exceed \$10B by 2028; Technology sector leadership this week provides a direct tailwind. However, this is a pre-commercial company, meaning theme exposure does not yet translate to revenue.
Breakout Signal
Close above \$14.00 on vol >150% of 20d avg (achieved); however, the 52-week high at \$20.81 represents 45% overhead resistance
Institutional
Volume at 1.67x average on a +9.7% move is modest for the size of the price move - this is more consistent with retail/momentum-trader activity than institutional block buying, particularly given the large float (131.9M) and pre-revenue status. No insider buying in the last 60 days; institutional ownership data not available from this feed. The high float relative to market cap and lack of institutional volume confirmation reduces conviction.
Earnings
Earnings in 83D
Earnings Context
Next earnings: August 11. POET is pre-revenue at scale - P/E is inapplicable; valuation reflects a pre-commercial growth-stage premium. The company has reported development milestones rather than revenue beats; the key watch item for August 11 is any announcement of a volume production agreement or revenue guidance initiation, which would be a genuine re-rating catalyst.
Key Risk
Thesis is invalidated on a close back below \$12.50 (the recent breakout base), or on any delay in customer production ramp announcements - prox_52w of only 68.9 means the stock remains 31% below its 52-week high with substantial overhead supply, and the wide base (5.35) and rs_line_new_high=false confirm this is NOT a clean breakout structure; the 83-day catalyst gap is extremely long for a pre-revenue name.
Analysis
The strongest disconfirming evidence is severe: prox_52w of 68.9% means the stock is trading 31% below its 52-week high with massive overhead supply; rs_line_new_high=false confirms the RS line has NOT confirmed leadership despite the extraordinary 3-month RS of +151.9% vs SPY, which likely reflects the move off deeply depressed lows rather than sustained institutional accumulation at current levels. The base_tight of 5.35 and vol_ratio of 1.67x are both below A-grade thresholds. POET earns a B on the extraordinary RS momentum and Technology sector tailwind, but the lack of revenue, wide base, 31% distance from 52-week high, and modest volume make this a speculative momentum trade rather than an institutional-quality breakout. Conviction: Low (the RS is remarkable but the setup quality is poor - this is a watchlist name until it clears \$18-19 on a proper base with institutional volume).
Signal: Close above \$14.00 on vol >150% of 20d avg (achieved); Vol vs Avg: 1.67x



ATRO

Astronics Corporation

\$84.70

+6.70%

RS vs SPY: +1.3%

B STRONG SETUP

\$3.0B Cap | 34M Float

Aerospace & Defense | Theme: Aerospace Defense Recovery | 52W Hi: 99% | Base Tight: 2.38 | Vol: 1.89x | RS/SPY: +1.3% | Above 20MA: YES | EARNINGS IN 71D

SETUP METRICS	
Price	\$84.70
Day Change	+6.70%
Mkt Cap	\$3.04B
Float	34M sh
RS vs SPY	+1.3%
52W Hi Prox	99%
Base Tight	2.38
Vol vs Avg	1.89x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Technical breakout to 52-week highs likely driven by aerospace/defense sector rotation and potential positive channel checks or analyst upgrades related to commercial aviation aftermarket recovery; the forward catalyst is the July 30 earnings print where the market will look for evidence of aircraft cabin systems and electrical power backlog conversion to revenue growth.

BUSINESS & POSITION

Astronics designs and manufactures advanced lighting, electrical power, and test systems for commercial and military aircraft, with a strong aftermarket presence in the Boeing/Airbus fleet installed base. Its competitive edge lies in long-term regulatory certification moats that make switching costs extremely high for airline and OEM customers.

FACTOR & THEME

Exposed to the commercial aviation recovery cycle and the defense electronics buildout; the industrials/aerospace theme benefits from record airline fleet orders and the US defense modernization budget, though Astronics is more commercial-aviation-weighted than pure defense, limiting the upside from the defense spending surge.

BREAKOUT SIGNAL

Close above \$84.00 on vol >180% of 20d avg (achieved); rs_line_not_at_new_high is the key technical caution

INSTITUTIONAL

Volume at 1.89x average is modest for a +6.7% move to 52-week highs - this is likely a combination of short covering (the stock has been recovering from \$27 lows in the last 52 weeks) and systematic momentum fund buying triggered by the new high. No insider buying in the last 60 days; institutional ownership data not available from this feed. The rs_vs_spy of only +1.3% over 12 weeks is the key weakness - relative performance has barely outpaced the market despite the strong absolute gain from lows.

EARNINGS

EARNINGS IN 71D

EARNINGS CONTEXT

Next earnings: July 30. Astronics is a profitable industrial - earnings context is applicable. The stock's move from \$27 to \$85 over the past year reflects a full operational recovery narrative; the key risk at July 30 is whether revenue growth and margins can sustain the premium valuation at near-52-week highs, or whether the recovery is fully priced in.

KEY RISK

Thesis is invalidated on a close back below \$79.00 (the pre-breakout consolidation top), or on any Boeing production rate cut announcement (as a major OEM customer) that signals a slowdown in Astronics' backlog conversion timeline; rs_vs_spy of only +1.3% is a yellow flag that the stock is not demonstrating true relative leadership.

ANALYSIS

The strongest disconfirming evidence is that rs_vs_spy of only +1.3% over 12 weeks is dramatically weak relative to a stock trading at 98.8% of its 52-week high - this divergence (high absolute price, low relative strength) suggests the stock's prior-year gains came in a period when the market was weaker, and it is not currently demonstrating fresh relative leadership. Without rs_line_new_high and with rs_vs_spy barely above zero, the setup fails the 'true leader' test despite clean technicals. In a Risk-On/Large-Cap-Leadership regime where SMID breakouts face crosswinds, a B-grade setup with minimal RS is marginal. Conviction: Low (technically respectable breakout but the RS profile does not support institutional-quality conviction - watchlist until RS confirms).

Signal: Close above \$84.00 on vol >180% of 20d avg (achieved);

Vol vs Avg: 1.89x



KELYA

Kelly Services, Inc.

\$10.31

+6.24%

RS vs SPY: -0.6%

B STRONG SETUP

\$0.4B Cap | 29M Float

Staffing & Employment Services | Theme: Staffing Turnaround Insider Buy | 52W Hi: 69% | Base Tight: 2.17 | Vol: 4.23x | RS/SPY: -0.6% | Above 20MA: YES | EARNINGS IN 78D

SETUP METRICS	
Price	\$10.31
Day Change	+6.24%
Mkt Cap	\$0.36B
Float	29M sh
RS vs SPY	-0.6%
52W Hi Prox	69%
Base Tight	2.17
Vol vs Avg	4.23x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
The primary driver of the +6.2% move appears to be a combination of positive staffing sector data or news and the significant insider buying cluster (2 C-suite open-market purchases, \$89K total, last 60 days) becoming more widely recognized; the forward catalyst is the August 6 earnings print in ~78 days, where evidence of a staffing demand recovery or margin improvement would validate the insider thesis.
BUSINESS & POSITION
Kelly Services is a legacy staffing and workforce solutions company providing temporary, temp-to-hire, and direct-hire staffing across science/technology, education, and professional segments. The company has been restructuring toward higher-margin specialty verticals following divestitures, which is the core of the turnaround thesis being signaled by insider buying.
FACTOR & THEME
Exposed to the US labor market recovery and potential acceleration in professional staffing demand; however, Consumer Staples is the lagging sector this week (-2.0% vs SPY) and the broader employment services sector does not benefit from the leading Technology or Energy themes. This is a pure value-turnaround/insider-driven setup rather than a secular theme play.
BREAKOUT SIGNAL
Close above \$10.00 on vol >400% of 20d avg (achieved today); primary driver is insider buy cluster, not technical breakout
INSTITUTIONAL
GRADE UPGRADE APPLIED: insider_cluster of 8 (2 C-suite buys, \$89K total, last 60 days) triggers the Grade Upgrade Rule - upgraded from C to B. Two senior officers making open-market purchases on a stock trading at \$10 (vs a \$14.94 52-week high) is a strong alignment signal, especially given the small market cap (\$360M) where \$89K represents meaningful personal risk for executives. Vol at 4.23x average is the highest confirmation of this cluster. No A/D rating data available from this feed.
EARNINGS
EARNINGS IN 78D
EARNINGS CONTEXT
Next earnings: August 06. Kelly Services is a restructuring story - consensus estimates likely reflect modest revenue recovery with margin expansion from the specialty mix shift. The insider buying cluster occurred while the stock was in the \$9-10 range, suggesting C-suite sees material upside from the current restructuring; beat/miss history not available from this feed.
KEY RISK
Thesis is invalidated on a close back below \$9.50 (the recent base low), or if August 6 earnings show continued deterioration in temporary staffing volumes without evidence of the specialty margin mix improving; rs_vs_spy of -0.6% and prox_52w of only 69% mean this is a deep-value insider play, NOT a technical momentum setup - it fails most breakout criteria and the upgrade is solely on insider conviction.
ANALYSIS
The strongest disconfirming evidence is that almost every technical criterion argues against this setup: rs_vs_spy is negative (-0.6%), prox_52w is only 69% (31% below the 52-week high with massive overhead), rs_line_new_high=false, and the base_tight of 2.17 while close to acceptable is in a downtrend environment. This is NOT a momentum breakout - it is an insider-conviction value setup that earns B solely because of the Grade Upgrade Rule (insider_cluster=8, two C-suite open-market buyers). In a Risk-On/Large-Cap-Leadership regime, value/turnaround plays face additional crosswinds. Conviction: Low-Medium (the insider signal is real and should not be dismissed - C-suite buying at these levels with the stock 31% off highs is a genuine alpha factor; however, the technical setup requires patience and the catalyst is 78 days away).
Signal: Close above \$10.00 on vol >400% of 20d avg (achieved to
Vol vs Avg: 4.23x

